



Manufacturing and production

Once a firm has decided what goods or services to make, its directors have to choose the method of production that best suits consumer demand, the product, and the market, as well as one that will be the most profitable. Companies work in three general areas of industry, which together form a production chain to provide consumers with finished goods or services.

Production methods

Before the Industrial Revolution, products were made by craftsmen. Then factories brought people together to work on machines. Typically, this was job production, with one person making one item. Economist Adam Smith first introduced the concept of division of labor, which led to mass production, with car-maker Henry Ford bringing in the moving assembly line at the start of the 20th century. Today, manufacturers can combine the best of all methods, with large-scale production of personalized products. Production typically involves three stages—here, from navy bean to canned beans sold in supermarkets.

Primary production

The acquisition and processing of raw materials—in this case, navy beans, as well as tomatoes for the sauce



PRODUCTION IN PRACTICE

Native to South America, navy beans are grown either for the immature green pods, eaten fresh as green beans, or for the beans themselves. These are dried and used most commonly in baked beans, a dish that originally came from Boston, MA.

CHOOSING THE BEST METHOD

- › **Job production** Items are made individually. *See pp.272–273.*
- › **Batch production** A number of items are all made together at the same time. *See pp.274–275.*
- › **Flow production** Suitable for mass-producing identical items on an assembly line. *See pp.276–277.*
- › **Mass customization** Mass product is customized by buyer. *See pp.278–279.*
- › **Continuous production** 24/7 line of production, for products with consistent demand. *See pp.280–281.*
- › **Hybrid processes** Mixing batch and flow production or combining other processes. *See pp.282–283.*